

July 17, 2026 06:20 AM GMT

Volvo | Europe

2Q26: In line, Europe market outlook upgrade

Reaction to earnings

Unchanged — **In-line** ↑ **Modest revision higher**
Impact to our thesis Financial results versus consensus Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

We expect a flattish positive market reaction to the results.

Group earnings in line, strength in Trucks coming through. Volvo delivered Q2 adjusted EBIT of SEK 14.8bn (+2% vs consensus, +10% YoY) at an 11.7% margin (+70bps YoY), on revenue of SEK 126.3bn (+1% vs cons.). The beat was led by Trucks (Adj. EBIT +7% vs cons., margin 11.2%). Volvo describes European truck demand as still being replacement driven, with good freight activity, vehicle replacements, and supportive manufacturing PMIs. North America freight rates and volumes have increased but are not yet driving a retail sales increase. Volvo expects the increased orders to drive production, deliveries and retail sales in H2. Construction Equipment earnings were in line with expectations, whilst Penta was well below (-23%). Volvo has filed the IEEPA tariff refund, to be recognised in Q3 and fully offset the SEK 1.1bn Q3 tariff cost. FCF of SEK5.8bn was slightly below (-8%) consensus at SEK6.3bn.

European Truck market outlook upgrade. In Trucks, orders strength was notable, growing +33% at group level, with +122% in North America, running +18% ahead of cons. Management raised the China market forecast by 120k to 880k and Europe by 5k to 315k, while again holding North America at 265k. We wrote about the debate on North America in [PMIs to Power Multiple Inflection](#). Supportive PMIs are starting to gradually improve freight volumes, which could continue to support recent order strength. With valuations already reflecting the upcycle, the question from here is whether truck markets can become meaningfully stronger with freight markets still mostly supply, rather than demand driven.

MORGAN STANLEY & CO. INTERNATIONAL PLC+

Shaqeal A Kirunda

Equity Analyst

Shaqeal.Kirunda@morganstanley.com

+44 20 7425-0736

MORGAN STANLEY EUROPE S.E., MADRID BRANCH+

Javier Martinez de Olcoz Cerdan

Equity Analyst

Javier.Martinez.Olcoz@morganstanley.com

+34 9141-81289

MORGAN STANLEY & CO. INTERNATIONAL PLC+

Matias Rodriguez Florez-Estrada

Research Associate

Matias.Rodriguez@morganstanley.com

+44 20 7425-1091

Volvo (VOLVb.ST, VOLVB SS)

Autos & Shared Mobility | Sweden

Stock Rating	Equal-weight
Industry View	In-Line
Price target	SKr 342.00
Shr price, close (Jul 16, 2026)	SKr 341.30
52-Week Range	SKr 354.00- 244.90
Mkt cap, curr (mn)	SKr 694,017
Net debt (12/26e) (mn)*	SKr 163,862
EV, curr (mn)*	SKr 868,657

* = GAAP or approximated based on GAAP

Exhibit 1 : Volvo 2Q26 summary

SEK m	2Q26a	MSe	2Q25a	A vs MSe	A vs Cons	Y/Y
Group Revenue	126,273	127,348	122,894	-1%	1%	3%
Adj. EBIT	14,783	14,471	13,483	2%	2%	10%
Adj. EBIT Mrg (%)	11.7%	11.4%	11.0%	34bps	12bps	74bps
Diluted EPS	5.10	5.92	3.64	-14%	7%	40%
Industrial FCF	5,837	7,803	2,949	25%	-8%	98%
English	09:00 AM (CEST)	Webcast				

Source: Company data, Company-compiled consensus, Morgan Stanley Research estimates (e); Y/Y = year on year

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Exhibit 4 : Group Adjusted EBIT Margin (%)



Source: Company data, Company-compiled consensus, Morgan Stanley Research

Volvo 2Q26 Summary

Exhibit 3: 2Q26 variance table

Volvo - 2Q26	Actuals			Consensus		MSe	
	2Q26a	2Q25a	YoY (%)	2Q26 Cons	Diff. (%)	2Q26 Mse	Diff. (%)
Group Revenue (SEK m)	126,273	122,894	3%	124,742	1%	127,348	-1%
Industrial	121,093	117,589	3%	119,398	1%	121,044	0%
Trucks	86,852	81,690	6%	84,820	2%	84,205	3%
Construction Equipment	21,603	22,907	-6%	20,962	3%	21,616	0%
Buses	6,067	6,036	1%	6,379	-5%	6,193	-2%
Penta	5,429	5,458	-1%	5,687	-5%	5,963	-9%
Financial Services	6,534	6,499	1%	6,472	1%	7,590	-14%
Group Adj. EBIT (SEK m)	14,783	13,483	10%	14,457	2%	14,471	2%
Industrial	13,743	12,441	10%	13,474	2%	13,287	3%
Trucks	9,731	8,399	16%	9,040	8%	9,010	8%
Construction Equipment	3,114	2,993	4%	3,084	1%	3,178	-2%
Buses	498	474	5%	551	-10%	526	-5%
Penta	908	1,132	-20%	1,177	-23%	1,193	-24%
Financial Services	1,011	979	3%	1,005	1%	1,184	-15%
Group Adj. EBIT Margin	11.7%	11.0%	74bps	11.6%	12bps	11.4%	-34bps
Industrial	11.3%	10.6%	77bps	11.3%	6bps	11.0%	-37bps
Trucks	11.2%	10.3%	92bps	10.7%	55bps	10.7%	-50bps
Construction Equipment	14.4%	13.1%	135bps	14.7%	-30bps	14.7%	29bps
Buses	8.2%	7.9%	36bps	8.6%	-43bps	8.5%	29bps
Penta	16.7%	20.7%	-402bps	20.7%	-397bps	20.0%	328bps
Financial Services	15.5%	15.1%	41bps	15.5%	-5bps	15.6%	13bps
Net Income	10,371	7,411	40%	9,663	7%	12,027	-14%
Diluted EPS	5.10	3.64	40%	4.75	7%	5.92	-14%
Industrial FCF	5,837	2,949	98%	6,313	-8%	7,803	-25%

Source: Company data, Company-compiled consensus, Morgan Stanley Research estimates (e); YoY = year on year

Volvo's 2Q26 in context:

Live from Sweden: [Resilience and Growth CMD \(10 Jun 2026\)](#)

ACT Orders: [April ACT Class 8 Orders: +201% YoY on easy comps... but order SAAR starting to normalise \(5 May 2026\)](#)

European Trucks: [PMIs to Power Multiple Inflection \(2 Mar 2026\)](#)

European Trucks: [Axles over Algorithms: Truck stocks are surging \(4 Feb 2026\)](#)

Global Truck Face-Off: [Opportunity Beyond the Cycle \(20 Jan 2026\)](#)

2026 Outlook: [Demand Troughing, Stay Selective On Stocks \(13 Jan 2026\)](#)

Tariffs: [Trucks: 25% US Tariff Announced \(26 Sep 2025\)](#)

Updated model: [Regular Update \(25 Jun 2026\)](#)

Previous versions:

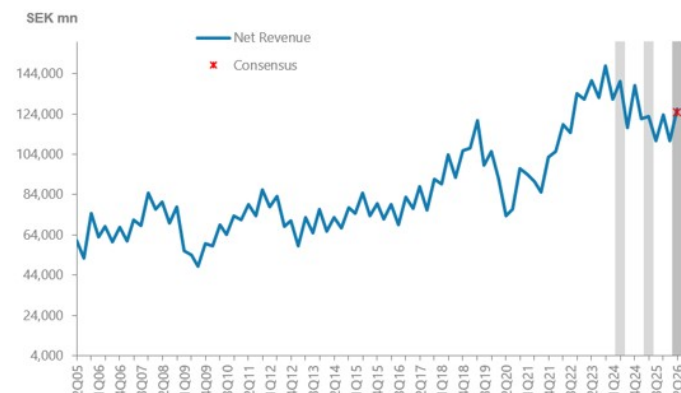
1Q26: [Strong and stable \(24 Apr 2026\)](#)

4Q25: [Truck Market Outlook Upgraded \(28 Jan 2026\)](#)

3Q25: [Small beat, Truck guide splits bulls and bears \(17 Oct 2025\)](#)

Volvo 2Q26 in a few charts

Exhibit 4: Net Revenue (SEK mn)



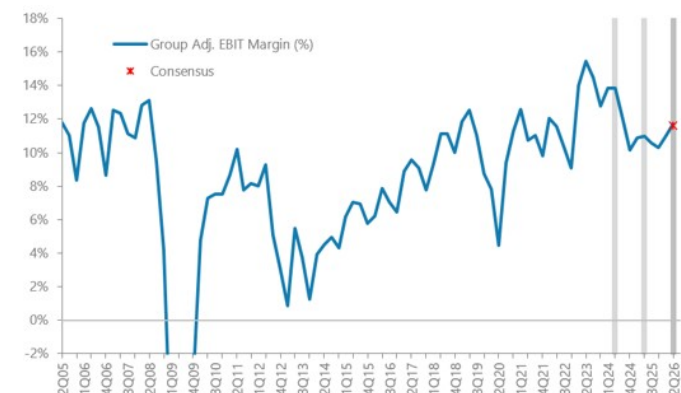
Source: Company data, Company-compiled consensus, Morgan Stanley Research

Exhibit 5: Volvo Group Adj. EBIT (SEK mn)



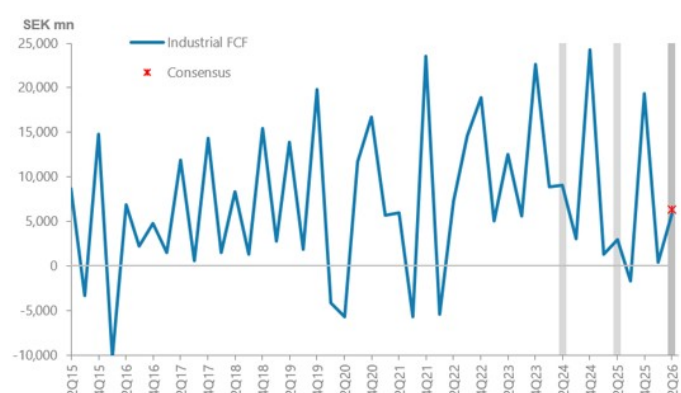
Source: Company data, Company-compiled consensus, Morgan Stanley Research estimates (e)

Exhibit 6: Group Adjusted EBIT Margin (%)



Source: Company data, Company-compiled consensus, Morgan Stanley Research

Exhibit 7: Industrial Free Cash Flow (SEK mn)



Source: Company data, Visible Alpha consensus, Morgan Stanley Research

Trucks Valuation Table

Exhibit 8: Global Trucks comps

Prices date: July 16, 2026		Mkt Cap US\$ mn	Price		MS Rating	EPS			Revenue		EBIT margin		EV/EBIT		EV/EBITDA		P/E		Dividend Yield		EV/Revenue	
			Last	Target		2025	2026E	2027E	CAGR 25-27E	2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E	
Trucks		744,869							11%	17%	19%	22x	18x	19x	16x	28x	23x	1.7%	1.9%	4.1x	3.7x	
Europe		131,718							8%	10%	11%	14x	11x	11x	9x	14x	11x	4.2%	5.1%	1.4x	1.2x	
Daimler Truck	EUR	37,553	42.8	47.0	OW	2.6	3.8	5.1	4%	8%	9%	14x	10x	11x	9x	11x	9x	4.7%	4.9%	1.1x	1.0x	
Volvo	SEK	71,440	341.3	342.0	EW	16.9	20.3	25.4	6%	11%	13%	15x	12x	12x	10x	17x	13x	4.2%	5.3%	1.7x	1.5x	
Iveco	EUR	4,251	14.0	++	++	1.8	2.4	2.7	7%	7%	8%	2x	1x	1x	1x	6x	5x	4.4%	4.9%	0.1x	0.1x	
Traton	EUR	20,471	35.8	34.0	UW	3.1	4.2	6.0	8%	7%	9%	13x	9x	8x	6x	9x	6x	3.9%	5.0%	0.9x	0.8x	
North America		877,891							12%	20%	21%	24x	20x	21x	18x	32x	27x	1.0%	1.0%	4.9x	4.4x	
PACCAR	USD	64,810	126.7	109.0	EW	5.0	5.2	6.4	6%	11%	12%	22x	17x	17x	14x	24x	19x	2.2%	2.4%	2.4x	2.1x	
Cummins	USD	91,919	648	752	OW	23.8	30.1	34.9	9%	15%	17%	16x	14x	14x	12x	22x	19x	1.2%	1.3%	2.5x	2.3x	
Caterpillar	USD	421,160	877	915	EW	19.0	25.5	31.2	14%	22%	23%	27x	22x	23x	20x	36x	29x	0.7%	0.7%	5.9x	5.2x	
Japan		9,942							4%	6%	6%	9x	8x	8x	6x	11x	10x	4.9%	4.3%	0.5x	0.5x	
Isuzu	JPY	9,942	2,328	1,900	UW	193.1	220	250	4%	6%	6%	9x	8x	8x	5x	11x	10x	4.0%	4.3%	0.5x	0.5x	
China		13,172							15%	8%	8%	7x	8x	8x	6x	11x	10x	5.2%	6.6%	0.8x	0.4x	
Sinotruk	HKD	13,172	39.3	45.0	EW	2.5	3.1	3.5	13%	8%	8%	7x	5x	6x	5x	11x	10x	5.2%	6.6%	0.5x	0.4x	
India		9,549							12%	11%	12%	18x	15x	15x	13x	23x	21x	1.7%	2.0%	2.0x	1.8x	
Ashok Leyland	INR	9,549	154.9	180.0	EW	5.4	6.7	7.6	12%	11%	12%	18x	15x	15x	13x	23x	21x	1.7%	2.0%	2.0x	1.8x	

Source: FactSet (inc consensus estimates), Morgan Stanley Research estimates (e). Note: Share prices as of 16th July 2026. ++ Stock Rating. Price Target, or Estimates for this company have been removed from consideration in this report because, under applicable law and/or Morgan Stanley policy, Morgan Stanley may be precluded from issuing such information with respect to this company at this time. NA = not applicable, NC = not covered (estimates from cons), nm = not meaningful.

Valuation Methodology and Risks

Volvo (VOLVb.ST)

We value Volvo using a P/E methodology. Volvo is the highest quality OEM in our coverage and should trade at a premium to EU Truck peers. We apply a 13.5x multiple to FY27e EPS, just above the upper end of its long-term interquartile range of c.10-13x, as we expect Volvo to benefit from improving demand sentiment. A 13.5x multiple implies an appropriate premium to Daimler Truck, typically trading at ~8-9x.

Risks to Upside

- Truck margins are supported by upcoming emissions regulation.
- Volvo's strong cash flows could support further cash returns to shareholders.
- Construction Equipment margins stay at high levels as rates fall.

Risks to Downside

- Economic growth deteriorates as rates rise and PMIs fall.
- Construction markets remain weak in FY25-26.
- EPA '27 pre-buy effect does not materialise.

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(as of June 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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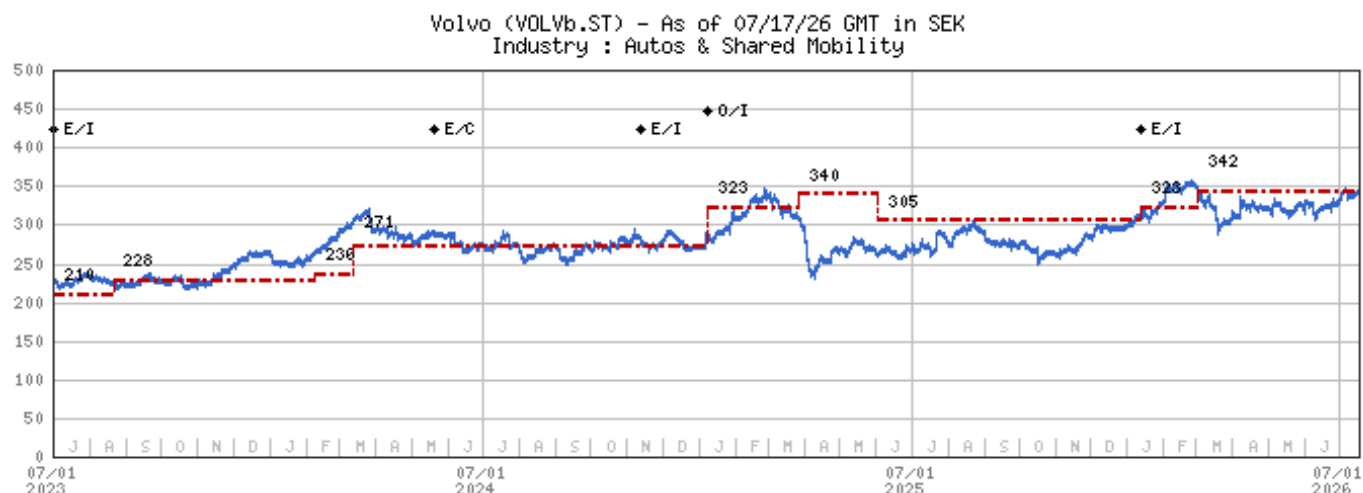
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 Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)
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INDUSTRY COVERAGE: Autos & Shared Mobility

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/16/2026)
Javier Martinez de Olcoz Cerdan		
Autoliv (ALV.N)	E (09/24/2021)	US\$124.99
BMW (BMWG.DE)	O (11/12/2024)	€58.32
Continental AG (CONG.DE)	E (06/26/2025)	€72.50
Forvia (FRVIA.PA)	E (03/19/2024)	€9.28
Mercedes-Benz Group AG (MBGn.DE)	O (05/20/2024)	€45.86
Michelin (MICP.PA)	E (12/02/2025)	€35.17
Opmobility SE (OPM.PA)	++	€13.41
Pirelli & C SpA (PIRC.MI)	E (09/28/2025)	€6.85
Porsche AG (P911_p.DE)	U (05/20/2024)	€44.93
Renault (RENA.PA)	U (02/03/2026)	€26.89
Stellantis (STLAM.MI)	E (02/03/2026)	€5.25
Stellantis (STLA.N)	E (02/03/2026)	US\$5.96
Valeo SE (VLOF.PA)	O (06/26/2025)	€13.12
Volkswagen (VOWG_p.DE)	E (04/25/2025)	€73.46
Shaqeal A Kirunda		
Aramis Autos (ARAMI.PA)	O (02/19/2026)	€3.73
AUTO1 Group SE (AG1G.DE)	E (03/26/2024)	€26.12
Daimler Truck Holding AG (DTGGe.DE)	O (01/28/2022)	€42.82
Iveco Group NV (IVG.MI)	++	€13.96
Traton SE (8TRA.DE)	U (01/13/2026)	€35.82
Volvo (VOLVb.ST)	E (01/13/2026)	SKr 341.30

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* Historical prices are not split adjusted.